

World in Brief: Hamas accepts Trump proposal to disarm; Saudi Arabia plans maritime-defence alliance



Photograph: AP

Donald Trump said that his [Board of Peace](#) has struck a deal for **Hamas** and other militant groups in **Gaza** to disarm fully. Hamas confirmed it had agreed to the proposal, but only if Israel withdrew its forces from the territory. [Israel](#) has yet to comment. Hamas's disarmament has been a sticking point in peace talks between the two sides.

Saudi Arabia proposed creating an international maritime-defence alliance, amid attacks on oil tankers in the Red Sea by [the Houthis](#), an **Iranian**-backed militia. The Saudi defence ministry said dozens of countries met to discuss the plan on Thursday; 14, including Egypt and Qatar, expressed their support. Earlier, **America** struck Iran's southern provinces in response to an Iranian missile attack on its forces in Jordan.

The Bank of Japan decided to hold rates steady at 1.0%, but hinted at future hikes. The country's weak currency is squeezing households by pushing up import prices. On Thursday, the yen briefly strengthened from ¥163 against the dollar to ¥158 after authorities intervened—though its value slid again on Friday.

Spain deployed troops to Ceuta after an estimated 49,000 **migrants** crossed to the country's north African enclave from neighbouring Morocco over a 24-hour period. At least 19 people drowned in the surge in recent days, which [Spain](#) blamed on human trafficking networks. This month the country's Supreme Court ruled that migrants stopped at sea could not be summarily returned to Morocco.

Citadel, a big American hedge fund, bought many of the equities held by **Situational Awareness**, an upstart fund that has been losing money hand over fist thanks to the sell-off in [AI stocks](#). Situational Awareness is run by Leopold Aschenbrenner, a 24-year-old Silicon Valley *wunderkind* with no prior trading experience. In recent days his fund, which grew at one point to \$45bn, had sought more capital from investors.

FIFA said it was open to modifying a plan to [sell stakes](#) in its football tournaments, amid growing opposition. Regional associations in Europe, North and Central America, and Asia, have pushed back against the proposal, which [Gianni Infantino](#), global football's boss, hopes will raise up to \$4.2bn. UEFA, the European body, voted to boycott FIFA competitions, including the World Cups.

Figure of the day: \$6.22. The price of a Big Mac in America. Read our [cover story](#) celebrating 40 years of *The Economist's* burger index.

Can Manchesterism work for Britain?



Photograph: Reuters

Andy Burnham faces his first electoral test since becoming Britain's prime minister on Friday when the result of the contest to replace him as mayor of Greater Manchester is announced. His Labour Party has long dominated the region but took a battering in May's nationwide local elections. That drubbing ultimately led to the resignation of Mr Burnham's predecessor, Sir Keir Starmer.

Mr Burnham says "Manchesterism" will be his template for running the country—without explaining what that means. He has chosen the city to host a new "Number 10 North" office, a way to shift power away from Westminster. Mr Burnham is popular in Manchester, and Labour's candidate, Bev Craig, is expected to win the mayoralty easily. The party is also rising in national polls as voters warm to the prime minister's folksy (but [often flimsy](#)) policy-announcement speeches. But proving that what worked for Greater Manchester can also deliver for the country will be hard.

Big Oil's windfall continues



Photograph: Reuters

This week and next, big Western energy firms post second-quarter earnings—and they're set to be supertanker-sized. Soaring prices for crude oil and refined fuel will offset the damage from Big Oil's trapped supplies in the Gulf: the Middle East provides a fifth of ExxonMobil's oil and gas, and 5% of Chevron's. Timing will help, too. The American majors' first-quarter profits were dented by accounting losses on pre-war hedges. As the underlying contracts are fulfilled, the effect will fade.

European firms, however, look set to be the bigger winners. BP, Shell and TotalEnergies will gain not just from dearer hydrocarbons and record refining margins, but from [their secretive trading arms](#)—an edge their American rivals lack. These thrive in volatile markets, when price gaps across time and geography provide rich arbitrage opportunities. Shell has already posted one of its highest-ever quarterly profits. Donald Trump's erratic diplomacy is keeping traders busy, and their pockets full.

South Korea's regulators finally shut the stable door



Photograph: AP Photo/Lee Jin-man

This week South Korea's finance minister apologised for introducing single-stock leveraged ETFs. And well he should. These products use borrowed money to multiply investors' exposure to the daily movements of a company's shares—usually SK Hynix or Samsung Electronics, two cash-printing chipmakers. Gains are amplified, but so are losses. Because the funds rebalance daily to maintain leverage levels, they are forced to sell into falling markets. As the South Korean equity benchmark [has tumbled](#) 40% from its peak in June, leveraged ETFs have torched money.

On Friday South Korea restrained the ETFs with new rules, by capping how much investors can stash in them. New listings have already been banned. But the restrictions may have come too late. A popular ETF tied to SK Hynix has fallen by more than 80% from its peak. The risks were apparent when regulators approved the funds back in April. Investors who failed to read the prospectus closely will have been served a nasty lesson.

Chapters of the DSA, unite!

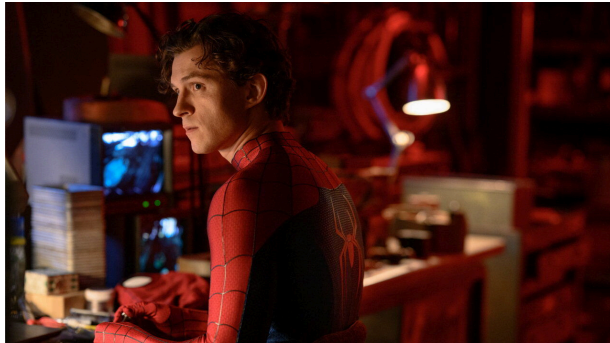


Photograph: Reuters

The Democratic Socialists of America ought to be feeling buoyant. Members of the left-wing movement won major victories in Democratic Party primaries this year. But when the group meets in Chicago on Friday for the annual Socialists Summit, acrimony may spoil the occasion. The New York branch and its National Policy Committee have split over whom the organisation should endorse as the Democratic Party's candidate in the 2028 presidential election.

The New York City chapter, the DSA's largest and most electorally successful, backs Alexandria Ocasio-Cortez, a congresswoman. But the NPC has panned her for being too soft on "Palestinian liberation". This month the NPC killed a poll of members to gauge support for potential presidential candidates that she probably would have led. The New Yorkers are furious; the chapter's treasurer told the NPC that "you need us more than we need you". To turn its recent wins into [more political power](#), the DSA must heal its divide.

In the movies, blandness brings bankability



Photograph: Sony Pictures via AP

Most actors would be lucky to star in a summer blockbuster. This year [Tom Holland](#) is in two: “The Odyssey” and “Spider-Man: Brand New Day” (which hit cinemas this week). It is rare for a star to be so bankable so young. Mr Holland is 30; his films have grossed nearly \$12bn. What can aspiring actors learn from his career?

First: start young and get out of indie flicks as soon as you can. Mr Holland’s live-action debut came at 16; he was 19 when he appeared as Spider-Man. He’s likely to have a long career in big-budget movies.

If your goal is box-office success, it is better to be boring and reliable than interesting and potentially great. Mr Holland’s Everyman persona is easy clay for directors to mould. Timothée Chalamet, his second-closest rival, may be the better actor, but his films have taken in only \$3.2bn. Finally, marry well: Zendaya, Mr Holland’s closest rival, with films grossing \$6bn, is also his wife.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Friday: The Serenade No 13 in G Major by Mozart is popularly known by what name?

Thursday: Which Roman tourist spot contains the Arch of Titus and the Temple of Antoninus and Faustina?

*Nothing is so permanent as a
temporary government program.*

Milton Friedman